

above the top of the pattern. However, the rise from D is what's important for swing traders (who buy near the D low and surf price higher).

Appearance. The crab pattern is a five-turn beast. What I find odd about this pattern is both the name (crab) and how far turn D is from the body of the pattern. As they say, it is what it is. Let's discuss how I find the five turns.

Table 20.1 Identification Guidelines

Characteristic	Discussion
Appearance	The pattern is composed of five turns, many of which are based on Fibonacci ratios.
AB/AX retrace	The Fibonacci ratio should be one of .382, .5, or .618.
CB/AB retrace	The ratio should be one of the Fibonacci numbers: .382, .5, .618, .707, .786, or .886.
CD/CB extension	The extension of leg CD to CB is one of the Fibonacci numbers: 2.618, 3.14, or 3.618.
AD/AX retrace	The ratio of AD to AX is 1.618.
Volume	Volume is upward the majority of the time, but this is an observation, not a requirement.
Duration	I limited patterns to 6 months, but this is an arbitrary limit I use for most chart patterns.